23 July 2026

U.S. Internet

Alphabet Inc

Rating

Market-Perform

Price Target

GOOGL **385.00 USD** (390.00 *OLD*)

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Google 2Q26: Should we eat or go to bed?

"If you hate Google here, eat something. If you feel like Google hates you, go to bed". You don't like this print from Google? Sell-side estimates will probably go up with in-line search, a massive beat in cloud, and modest beats on operating margins and EPS ex-mark to markets. You think Google's not giving the answers you need around model progress and AI ROIC? Google's multiple probably compresses as search comps also get tougher, cloud margins compress, and Google's gone negative FCF for the first time. But get some sleep, and we can weave a new story tomorrow.

Search hanging in. Search revenues grew +17% Y/Y, in-line with expectations as were Services Operating Margins at 42%. Management continues to highlight the expansionary search market as Gemini gets deployed across ad delivery, ad tools, and the user experience. But comps get tougher ahead as competition ever so slowly ramps. Remember search growth needs to hang in there before anything else.

Google winning in AI Cloud. Google is a stronger competitor in AI cloud than the old hyperscaler world with Cloud revenues well above Street at +82% Y/Y and margins expanding to ~36%. 90% of Fortune 100 Companies use Gemini Enterprise in some capacity. Yet with Google signaling focus on Gemini 4 vs. 3.5 Pro and accelerating 3P cloud deals, questions are suddenly louder alongside expected margin compression ahead.

CAPEX goes up, FCF goes down. 2026 Capex guide went up to $195-205B as expected, while Google had it's first negative FCF quarter. Spend too much you get dinged, don't spend enough you fall behind… and get dinged. Google has to defend search, compete at the frontier, and win over enterprise on AI cloud. No easy task indeed.

Investment Implications

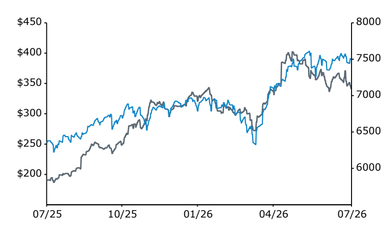
Going to bed but warming to the stock. **Maintain Market-Perform, PT $385 (-$5).**

Close Date	22 Jul 2026
GOOGL Close Price (USD)	342.09
Price Target (USD)	385.00
Upside/(Downside)	13%
52-Week Range	408.61/187.82
SPX	7,498.96
FYE	Dec
Div Yield	0.3%
Market Cap (USD) (B)	4,182.69
EV (USD) (B)	4,071.00

Performance	YTD	1M	6M	12M
Absolute (%)	9.3	(1.2)	4.3	79.8
SPX (%)	9.5	0.4	8.5	18.8
Relative (%)	(0.3)	(1.5)	(4.2)	61.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E
GOOGL (USD)	10.81	**20.84**	**15.26**
OLD	--	14.81	15.16

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	402,836	496,135	616,895	23.7%
EBITDA (M)	150,175	203,580	270,455	34.2%
EBIT (M)	129,039	169,211	213,701	28.7%
EBITDA Margin (%)	37.3	41.0	43.8	--
Operating Margin (%)	32.0	34.1	34.6	--
Adjusted EPS	12.85	23.34	18.37	19.6%

Valuation Metrics	F25A	F26E	F27E
Reported P/E (x)	31.7	16.4	22.4
PEG Reported (x)	0.9	0.2	(0.8)
EV/Sales (x)	10.1	8.2	6.6
EV/EBITDA (x)	27.1	20.0	15.1
EV/EBIT (x)	31.5	24.1	19.0
Div Yield (%)	0.2	0.3	0.3
Adjusted P/E (x)	26.6	14.7	18.6

Source: Bloomberg, Bernstein estimates and analysis.

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DETAILS

PORTFOLIO MANAGER'S SUMMARY

Alphabet reported its 2Q26 results today after the market close.

Get ready for the shortest PM summary we've ever done: Unpacking and underwriting Google's story is suddenly quite difficult, which means owning Google stock here is probably too difficult, and it's just easier to pile back into the hardware bottleneck trade.

So why is the story hard? Google's stock was easier to own when the company kept beating and raising across all key metrics, especially accelerating search, cloud, and cloud margins growth, while the story came together quite nicely alongside frontier model releases, a growing slate of AI product shipments, and healthy AI adoption KPIs. And based on this quarter's print, net-net **we think most Street estimates come up**. Search was in-line so perhaps that's unchanged; YouTube likely pushes up a bit off of a successful second-screen for the FIFA World Cup; Google Services margins continue to hold and can come upward here too; Cloud growth remains the star of the show with 80%+ Y/Y growth, the backlog up another ~$50B+ in incremental commits, and TPU system sales underway should all take Street Cloud revenue estimates way up. And even with forward commentary on cloud margin headwinds, Cloud margins expanded another ~3ppts to 36% so Cloud Operating Income could still end up higher. EPS probably comes up a bit too, while this quarter recognized a big mark-to-market of minority stakes (SpaceX and probably Anthropic), yet even without the stakes EPS beat modestly on a like-for-like basis. CAPEX, of course, also comes up as the company raised their 2026 spend estimates by ~$15B to $195-205B and probably pushes up Street 2027 numbers too.

Just looking at the 2Q print, you'd be forgiven for expecting the stock to be up after-hours all things considered. Yet we find ourselves with the stock down LSD - not dramatic but raises some questions. The questions start here: **Google faces a tough 2H26 setup.** Search comps get tougher while FX tailwinds flip to headwinds - yes, Google has been quite clear that AI is TAM expansionary, and we fully agree, but the rate of market growth vs. google search's revenue growth points to search revenue growth decelerating Y/Y to the mid-teens. Elsewhere, while Cloud revenue growth comes up, operating margins are expected to come down as Google rushes to tuck in third-party compute capacity to meet all of their demands with aggregate margins already under pressure and moving in the wrong direction:

- If you don't have enough compute for enterprises, they'll go right back to Amazon or Microsoft
- If you don't have enough compute for developers or have leading 1P frontier models to offer up via APIs, developer loyalty will be tested, and now that Google has gotten into the habit of disclosing tokens/minute of 1P models via APIs investors will scrutinize just how important having leading frontier models on performance (not just cost/performance) is to consumption
- If you don't allocate enough compute to protect your search moat - well let's not even consider that scenario. Search growth still holds up the foundation of the Google investment thesis

That's really it for what matters this quarter. Investors probably wanted to hear more **management conviction that Google's imminently back to the frontier** on their models, yet with commentary more focused on Gemini 4 vs 3.5 Pro that narrative will have to wait. And while higher CAPEX was expected, underwriting the ROIC against heavy incremental spending remains a tired but relevant question especially as funding that investment has driven Google to a negative FCF place and forced it to get creative on how to fund it all.

So what to do with the stock. Consider us at the front of the list fatigued on all the AI ROIC questions - Search is up +17% Y/Y and Cloud +82% Y/Y! Remember **Street expectations were for HSD search growth and mid 20s cloud growth with low teens margins just 2 years ago**. But we're very much in a narrative driven tape, and if there's any signal on deteriorating core fundamentals alongside open-ended questions on model performance, yes that, and right to win in the long-run amidst an ever-rising CAPEX bill that requires equity issuance, debt raises, and perhaps the sale of marketable securities to fund, GOOGL is a hard stock to own. Especially when the name still trades a premium multiple to its Megacap peers.

Perhaps we're creeping closer to an attractive entry point, but we've seen how long stocks can stay in the penalty box especially within an Internet sector still used as a source of funds. We're no different - we take up our revenue numbers to reflect the growth in Cloud and Properties to a smaller extent, yet we take down our cloud margins on the 3P deal pressure and EPS on equity dilution, and we land at exactly the same place. On the multiple? We're not really buying the noise on the model performance bear case, but narratives are hard to shake, and ask some of our questions on the quality of earnings to de-rate the business a touch. **We remain Market-Perform and take down our price target to $385/share (-$5).** We value Alphabet using a 50/50 combination of 2027e EV/ EBIT multiple of 24x (-4X) and a DCF using a WACC of 10% and a terminal growth of 3.5%. We revise down our EV/EBIT multiple due to the lower quality of earnings. We consider Alphabet primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

RESULTS

Revenues

Overall revenues comfortably beat Street expectations up +24% Y/Y [23% FxN] to $119.8B, with Search in line at +17% Y/Y and Cloud growth accelerating to +82% Y/Y landing well above the Street. SP&D (Subscription, Platforms and Devices) grew +15% Y/Y, YouTube advertising was up +13% Y/Y, while Network declined by a modest -1% Y/Y.

Advertising

Advertising revenues were up +14% Y/ Y to $82B with YouTube Ads and Network landing 2%-2.5% ahead of Street estimates and Search in line.

- Search revenues grew +17% Y/Y to $63B with retail and finance driving the largest contributions. While reported growth decelerated from 19% Y/Y in Q1, on a FxN basis Search growth was mostly consistent Q/Q. Search trends remain healthy, supported by ongoing AI-driven enhancements that continue to improve user engagement and monetization. That said, **expectations for Search remain high, with growth comps increasingly difficult in the coming quarters and FX tailwinds flipping to tailwinds.**
    - **Market expansionary.** Google continues to deepen the integration of AI into Search, unifying AI Overviews and AI Mode into a single, seamless experience. AI-driven enhancements are contributing to higher user engagement and search activity. Since the global rollout of AI Mode last October, the product has surpassed 1B MAUs. Similar to AI Overviews, AI Mode is generating incremental query growth, and Google is now sending billions of clicks to websites every week through AI features in Search.
    - **AI efficiency gains.** As AI query volumes continue to grow, Google has maintained a strong focus on efficiency. Management noted that ongoing engineering improvements and hardware optimizations drove the cost of AI Mode responses to their lowest level since launch this quarter, even as the company expanded the product's capabilities with more advanced AI features.
    - Gemini app momentum remains strong, with MAUs reaching 950M and DAUs growing more than 3X Y/Y as Google ships new features at an incredible clip.
- **YouTube ad revenues grew 13% to $11B** driven by direct response advertising as well as brand. The platform played a central role in engaging global audiences during the FIFA World Cup as a preferred FIFA partner with more than 1.7B unique viewers watching World Cup-related content on YouTube, including over 550M million who tuned in via connected TVs.
- **Network continue to donate share.** Network revenues were down Y/Y for the 16th quarter in a row at -1% Y/Y to $7B.

Subscription, Platforms and Devices (Formerly Google Other)

- **SP&D missed consensus by ~1%.** SP&D revenues were up +15% Y/Y to $13B driven by strong growth in both YouTube subscriptions, particularly YouTube Music and Premium and Google One, which was driven by demand for AI plans.

Cloud

- **Expectations kept rising going into the quarter, but Google Cloud still out-delivered.** Google Cloud revenue grew +82% Y/Y to $24.8B led by Google Cloud Platform (GCP) across enterprise AI Solutions and enterprise AI Infrastructure, as well as core GCP services.

- **Strong backlog growth continues.** Last quarter backlog nearly doubled Q/Q to ~$462B. And while not as jarring, Google added another $50B+ sequentially to the backlog reaching $514B driven by strong demand for enterprise AI offerings. The majority of the backlog is related to typical GCP contracts for a broad mix of customers, and Google expects to recognize just over 50% of the total backlog as revenue over the next 24 months.

- **Strong demand for Gemini Enterprise, and shout out to security solutions.** Google highlighted wide adoption of Gemini Enterprise, with nearly 90% of the Fortune 100 using it. Strong adoption of Gemini is driving growth in paid token consumption, with nearly 500 Cloud customers processing more than 1 trillion tokens each over the past year and more than 2,000 enterprises consuming over 100B tokens. Google is also seeing strong traction in its AI-powered security platform, which combines threat intelligence, AI-automated scanning, code remediation, monitoring, and cyber response prioritization with Wiz. Today, 90% of Fortune 100 companies use Google Cloud Security, nearly 90% of Wiz customers leverage its AI-powered capabilities, and the number of AI workloads scanned and protected by the platform increased more than 45% Q/Q.

- **On the model front, Google reaffirmed the pace of innovation across its AI models, signaling that development remains on track despite growing concerns about delays at the frontier.** Model demand continues to accelerate, driving strong growth in token consumption across both developers and enterprise customers. More than 9M developers are building with Google's models each month across APIs and developer platforms, while token processing has increased to 22B tokens per minute, up from 16B last quarter and 10B the quarter prior to that.

    - **Gemini 4 > 3.5 Pro?** There has been growing frustration around [delays to Gemini 3.5 Pro](), Google's flagship AI model. The company appears to be taking additional time to improve key capabilities, particularly coding performance, but investor questions around timing and competitiveness of the next release have gotten louder. Google highlighted that Gemini 3.5 Pro is currently in testing, while management generally focused the discussion on Gemini 4 and emphasized the sheer volume of incremental compute required for training.

    - In the meanwhile, Google has [announced]() Gemini 3.6 Flash and Gemini 3.5 Flashlight, and emphasized their cost efficiency and strong performance. Demand for the Gemini Flash series remains robust, reflecting its favorable performance-to-cost profile. Google also highlighted Gemini 3.5 Flash Cyber, a cybersecurity-focused model capable of detecting and fixing vulnerabilities, with management noting frontier-level performance comparable to much larger cyber models.

- **Supply constrained.** To address ongoing capacity constraints, Google plans to leverage additional third-party infrastructure in Q3 as a bridge while it continues to build more internal capacity. This strategy should help sustain customer growth and support rising demand, however at the expense of modest near-term margin pressure due to the higher cost of external capacity.

- **Started recognizing revenue from TPU system sales.** Google started delivering TPUs customer data centers for the first time in Q2, although management was clear that Cloud revenue growth accelerated meaningfully even after excluding the impact of TPU system sales.

- **Cloud operating income at $8.8B tripled Y/Y**, and operating margin landed at 35.6%, up from ~20.7% in 2Q25 and ~33% in 1Q26. Margin expansion is being driven primarily by strong top line growth, which creates operating leverage complemented by improved cost discipline and operational efficiency. While higher depreciation from ongoing data center CapEx and now third-party bridge compute capacity are headwinds, there is a lot of focus on balancing these headwinds with efficiency gains.

Other

- **Waymo ramping but numbers soft for now**, while certainly not in focus this quarter, and more cars on the road expected shortly, Other bets revenues (mostly Waymo) came in a touch below expectations up 2% Y/Y to $382M

Margins and CapEx

- **Operating margins landed at ~34%,** up Y/Y from 32% in 2Q25 but down sequentially from 36% in 1Q26. Total operating expenses were up 27% to $33B. R&D expenses increased by 32%, driven by compensation from investments in AI talent as well as depreciation. Sales and marketing expenses were up 18% due to investments to support the Gemini app, and search and compensation. In G&A, expenses increased 24%, primarily driven by compensation and charges for certain legal and other matters.

- **EPS came in at $9.11/share**. Other income reflected a net gain of $98B primarily the result of net unrealized gains on equity securities.

- **FCF was negative at -$5.9B for the quarter driven by capex.** Looking at trailing 12 months, FCF was $53.3B. Google ended the quarter with $242.5B in cash and marketable securities, and long term debt was $98.2B.

- **2026 CapEx guidance range came up ~$15B** at the midpoint to $195B to $205B (vs prior $180B to $190B) in the backdrop of BOM inflation and ongoing supply-chain constraints and to accelerate delivery of capacity to meet growing demand. Google again noted that it expects to increase capex "significantly" in 2027. From an expense perspective, ongoing investments in technical infrastructure will continue to pressure the P&L through higher depreciation and data center operating costs, including energy expenses. Google also expects continued hiring in priority areas such as AI and cloud.

- **Equity capital raise.** In June 2026, Google raised $49.6B through a mix of Class A and Class C stock and mandatory convertible preferred stock to fund general corporate needs, including AI infrastructure and global compute expansion. The company also launched a $40B ATM share sale program, primarily to cover employee equity-related tax obligations, though no shares had been sold under the program as of June 30, 2026.

- **Senior unsecured notes.** Google issued senior unsecured notes for net proceeds of $20.3B in the quarter.

Estimate and PT revisions

- **Revenues:** We take up our revenue estimates for Cloud meaningfully, to reflect the stronger business performance. We marginally tweak revenue estimates for YouTube, Network, SP&D and Other Bets to reflect recent performance.

- **Margins**: We take up our EBIT estimates mainly tied to the strong Cloud performance.

- **CapEx:** We modestly take up our 2026 full year CapEx estimates to ~$200B to reflect the updated management guidance. Beyond 2026, we keep the CapEx estimates mostly unchanged.

- **We take up our EPS estimates for 2026,** mainly driven by the beat in Other Income in 2Q. We keep 2027 EPS largely stable, as higher EBIT and equity issuance dilution offset each other.

- **We change our price target to $385/share (-5).** We value Alphabet using a 50/50 combination of 2027e EV/ EBIT multiple of 24x (-4X) and a DCF using a WACC of 10% and a terminal growth of 3.5%. We revise down our EV/EBIT multiple due to the lower quality of earnings. We consider Alphabet primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

EXHIBIT 1: **Google estimates changes post 2Q26**

GOOGL: Bernstein estimate revisions post 2Q26

Estimate revisions		New	Old	New vs. old	New Growth Y/Y	Consensus	Bern v Consensus
Total revenue	**2Q26**	119,796	117,499	2%	24%	117,022	2%
	3Q26	126,286	124,380	2%	23%	124,010	2%
	FY26	496,135	490,153	1%	23%	488,335	2%
	FY27	616,895	587,693	5%	24%	584,273	6%
3Q26 revenues	**Search**	65,052	65,052	0%	15%	65,006	0%
	YouTube	11,215	11,215	0%	9%	11,286	-1%
	Network	7,097	7,060	1%	-4%	7,145	-1%
	Cloud	27,586	25,441	8%	82%	25,465	8%
	SP&D*	14,981	15,251	-2%	16%	14,864	1%
	Other bets	356	361	-1%	4%	399	-11%
2026 revenues	**Search**	260,625	260,757	0%	16%	260,464	0%
	YouTube	44,788	44,327	1%	11%	44,710	0%
	Network	28,925	28,606	1%	-3%	28,836	0%
	Cloud	104,177	98,091	6%	77%	97,106	7%
	SP&D*	56,162	57,000	-1%	17%	56,064	0%
	Other bets	1,532	1,552	-1%	0%	1,637	-6%
EBIT	**2Q26**	40,770	39,926	2%	*34%*	40,548	1%
Showing new EBIT margin in the New Growth column	**3Q26**	42,223	41,467	2%	*33%*	42,634	-1%
	FY26	169,211	166,968	1%	*34%*	170,283	-1%
	FY27	213,701	206,146	4%	*35%*	210,776	1%
GAAP EPS	**2Q26**	9.11	3.06	198%	294%	2.90	214%
	3Q26	3.18	3.17	0%	11%	3.02	5%
	FY26	20.84	14.81	41%	93%	14.63	42%
	FY27	15.26	15.16	1%	-27%	14.85	3%
Capex	**2Q26**	44,924	50,524	-11%		44,150	2%
	3Q26	56,829	53,483	6%		50,188	13%
	FY26	200,497	199,184	1%		186,400	8%
	FY27	326,338	326,170	0%		258,437	26%

Source: Company filings, Bloomberg consensus, Bernstein estimates and analysis

EXHIBIT 2: **GOOGL 2Q26 results vs Consensus and our expectations**

Source: Company reports, Bloomberg, Bernstein estimates and analysis

GOOGL 2Q26 vs. Expectations

	2Q26A	Y/Y Growth	Bernstein	Beat/Miss	Consensus	Beat/Miss
Total Revenue	**119,796**	**24%**	**117,499**	2%	**117,022**	2%
Google Search & Other	63,271	17%	63,402	0%	63,285	0%
YouTube Ads	11,055	13%	10,776	3%	10,806	2%
Google Network Members' Properties	7,303	-1%	7,060	3%	7,131	2%
Google Cloud	24,768	82%	22,594	10%	22,462	10%
Subscription, platforms and devices	12,911	15%	13,276	-3%	13,056	-1%
Other bets revenues	382	2%			402	-5%
Hedging gains (losses)	106	-195%				
Total Expenses	79,026	21%	77,573	2%	76,474	3%
Operating Income	**40,770**	**30%**	**39,926**	**2%**	**40,548**	**1%**
Google Services	39,544	20%	36,584	8%	40,235	-2%
Google Cloud	8,814	212%	7,456	18%	6,911	28%
Other Bets	-1,799	44%	-2,142	-16%	-1,720	5%
Alphabet level activities (restructuring)	-5,789	72%	-1,972	194%	-4,814	20%
Operating Margin (%)	**34.0%**	**2ppt**	**34.0%**	**0ppt**	**34.7%**	**-1ppt**
Ex one-off restructuring	**34.0%**	**0ppt**	**34.0%**	**0ppt**	**34.7%**	**-1ppt**
Google Services	41.8%	**2ppt**	38.7%	**3ppt**	42.7%	**-1ppt**
Google Cloud	35.6%	**15ppt**	33.0%	**3ppt**	30.8%	**5ppt**
Other Bets	-470.9%		-16.1%		-427.6%	
Net Income	**112,107**	**298%**	**37,423**	**200%**	**35,432**	**216%**
Diluted EPS	**9.11**	**294%**	**3.06**	**198%**	**2.90**	**214%**
Capex	44,924		**50,524**		44,150	
Free Cash Flow	-5,855		-11,269		2,214	**-364%**

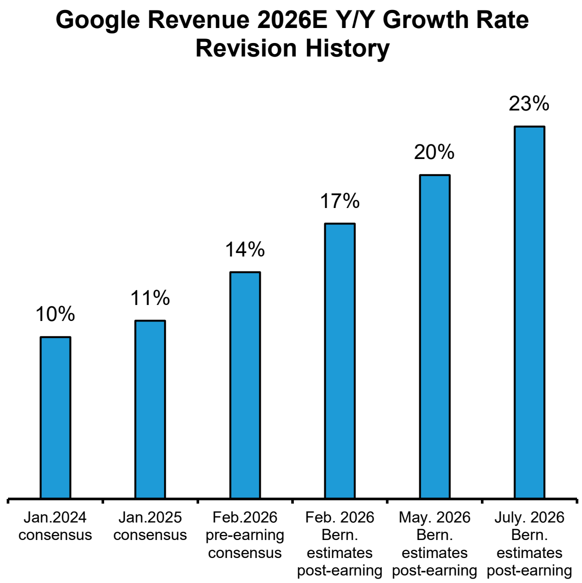
Source: Company reports, Bloomberg consensus, Bernstein estimates and analysis

EXHIBIT 3: **Revenue and Operating Profits by segment**

Segment revenues and operating profits ($B)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	FY25	FY26E	FY27E
Google Services									
- Revenue	77,264	82,543	87,052	95,862	89,637	94,540	342,721	390,500	434,105
- Operating Profit	32,682	33,063	33,527	40,132	40,589	39,544	139,404	155,929	178,185
- Operating Margin (%)	42%	40%	39%	42%	45%	42%	41%	40%	41%
Google Cloud									
- Revenue	12,260	13,624	15,157	17,664	20,028	24,768	58,705	104,177	181,205
- Operating Profit	2,177	2,826	3,594	5,313	6,598	8,814	13,910	34,966	56,898
- Operating Margin (%)	18%	21%	24%	30%	33%	36%	24%	34%	31%
Other Bets									
- Revenue	450	373	344	370	411	382	1,537	1,532	1,586
- Operating Profit	(1,226)	(1,246)	(1,426)	(3,617)	(2,100)	(1,799)	(7,515)	(7,497)	(7,196)
- Operating Margin (%)	-272%	-334%	-415%	-978%	-511%	-471%	-489%	-489%	-454%
Hedging Gains (Losses)	260	(112)	(207)	(68)	(180)	106	-	-	-
Corporate Costs, Unallocated	(3,027)	(3,372)	(4,467)	(5,894)	(5,391)	(5,789)	(16,760)	(14,187)	(14,187)
Total Revenue	**90,234**	**96,428**	**102,346**	**113,828**	**109,896**	**119,796**	**402,963**	**496,209**	**616,895**
Total Operating Profit (ex restructuring)	**30,606**	**31,271**	**31,228**	**35,934**	**39,696**	**40,770**	**129,039**	**169,211**	**213,701**
Operating margin (%) (ex restructuring)	**34%**	**32%**	**31%**	**32%**	**36%**	**34%**	**32%**	**34%**	**35%**

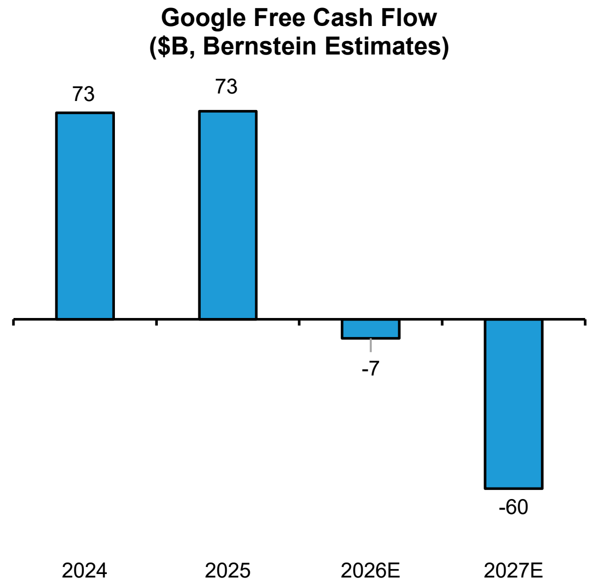
Source: Company filings, Bernstein estimates and analysis

EXHIBIT 4: **Google revenue estimate has been revised up significantly in the past 2 years**



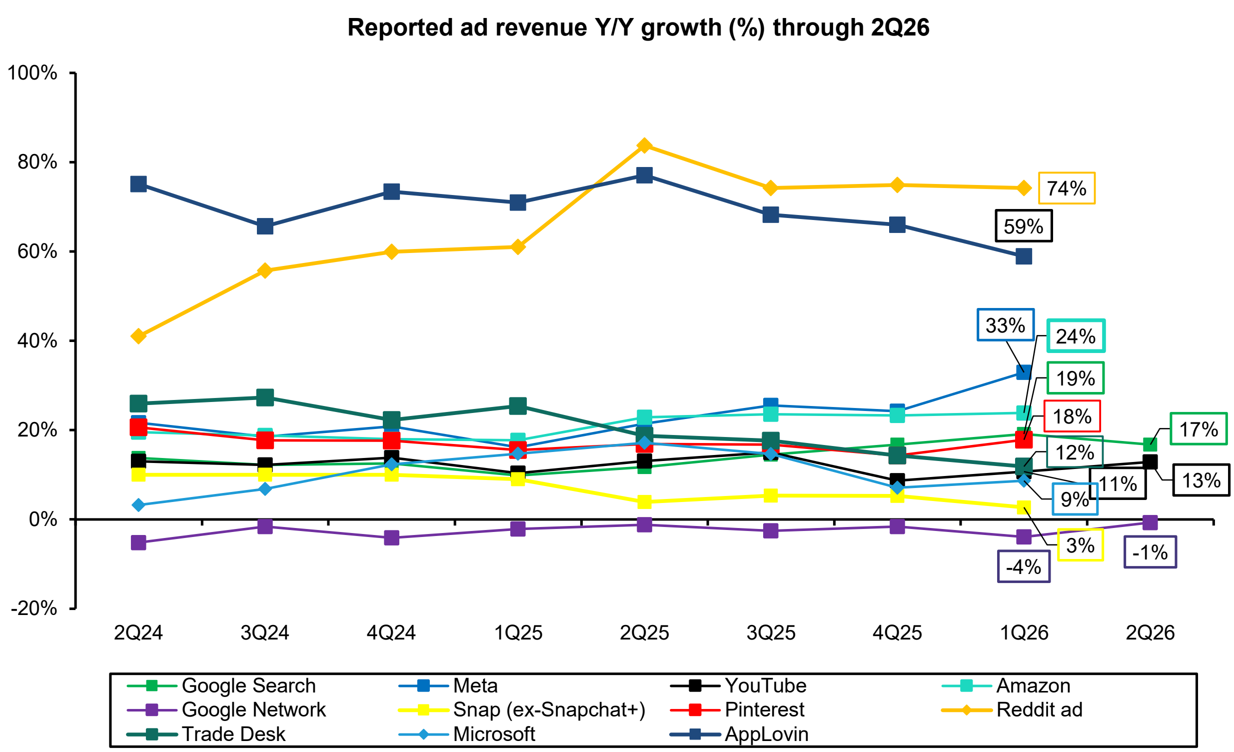
Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 5: **..but not all numbers are going up: we expect significant FCF contraction**



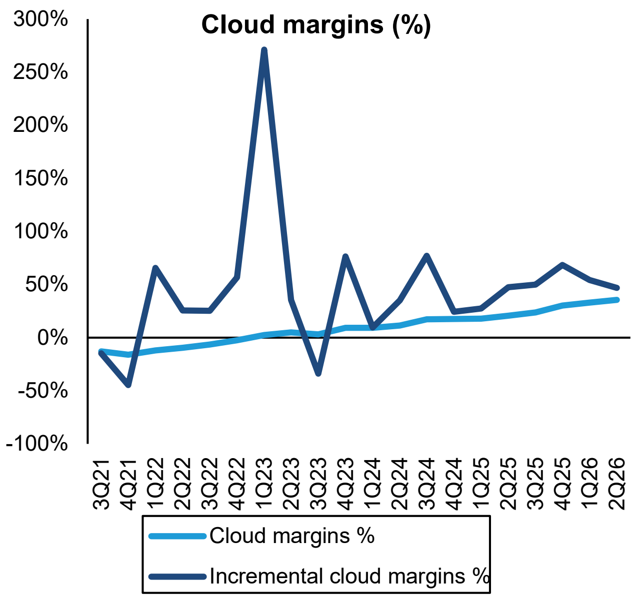
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **Digital ads growth (%)**



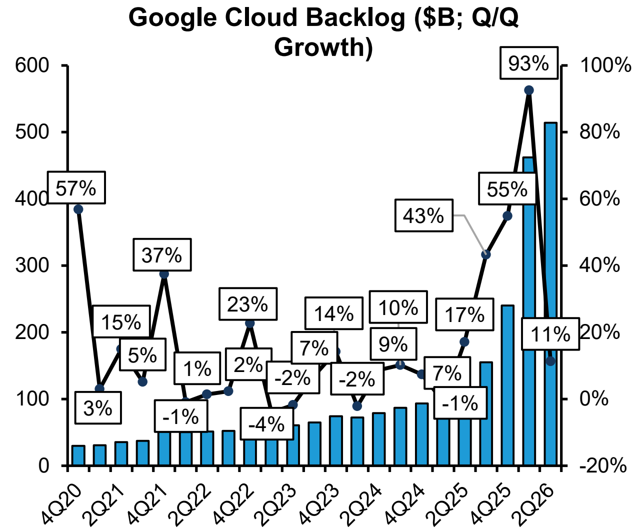
Google, Meta, Amazon, Snapchat, Pinterest; AppLovin excludes IAP
Source: Company reports, Bernstein analysis

EXHIBIT 7: **Google Cloud margins & incremental margins Q/Q**



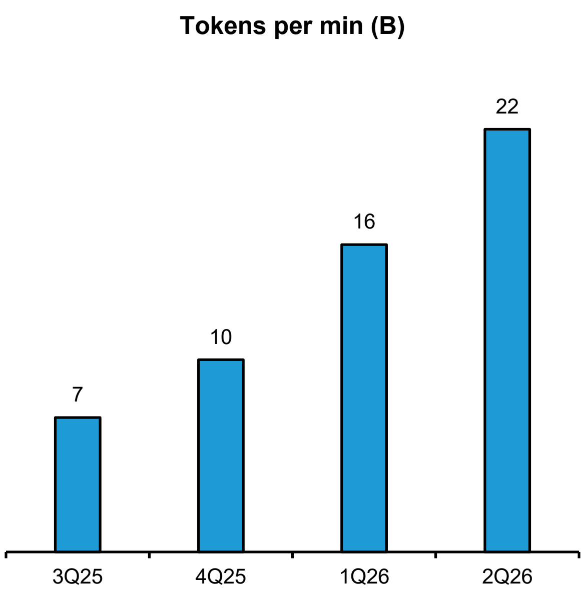
Source: Company reports and Bernstein analysis

EXHIBIT 8: **Google Cloud's Backlog rose to $514B in 2Q26**



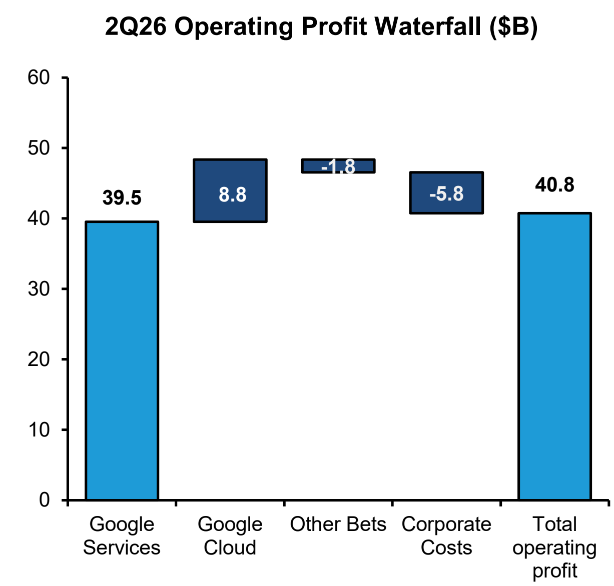
Source: Company reports, Bernstein analysis

EXHIBIT 9: **Token processing grew to 22B token per min**



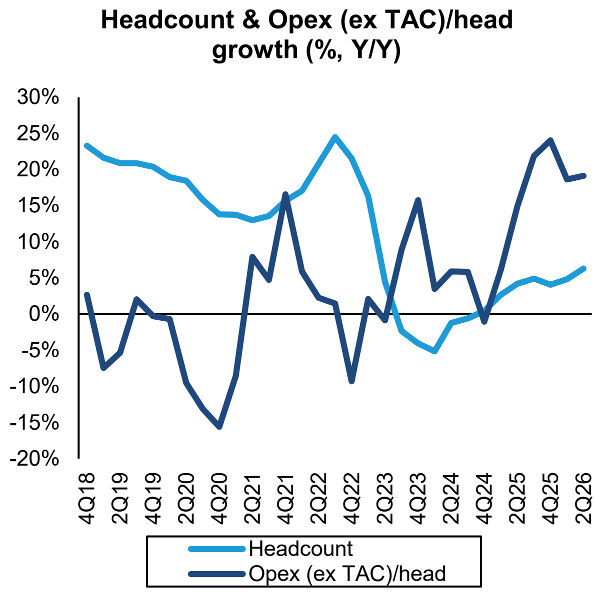
Source: Company reports; Bernstein analysis

EXHIBIT 10: **Google operating profit waterfall**



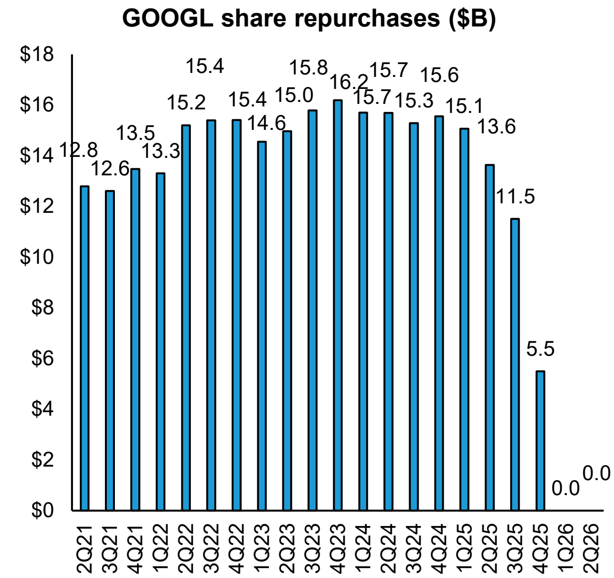
Source: Company filings, Bernstein analysis

EXHIBIT 11: **Headcount increased by 4.3k Q/Q and was up 6% YoY**



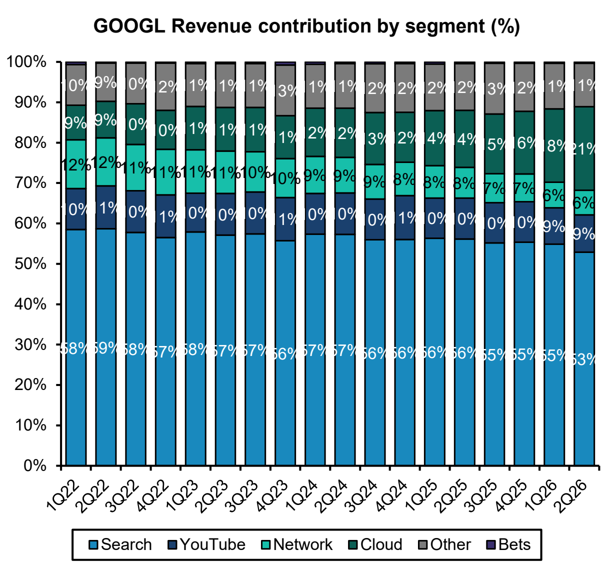
Source: Company reports, Bernstein analysis

EXHIBIT 12: **Google stopped repurchasing stocks in the past two quarters**



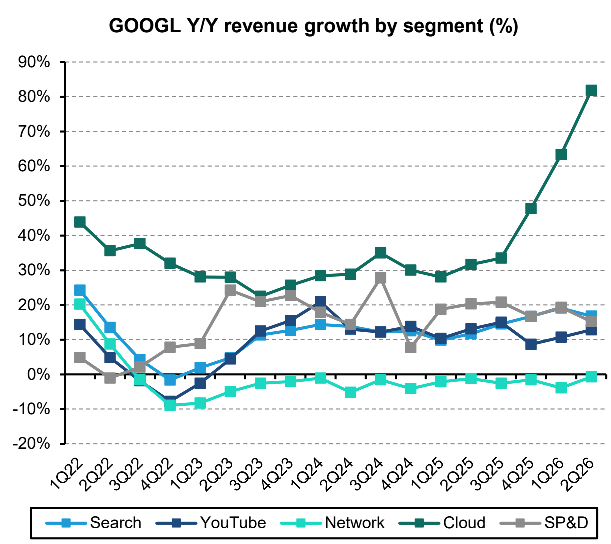
Source: Company reports, Bernstein analysis

EXHIBIT 13: **Revenue contribution by segment**



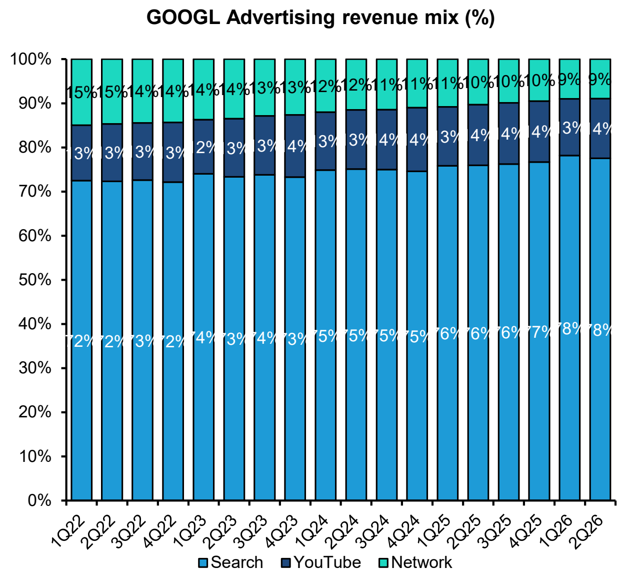
Source: Company filings, Bernstein analysis

EXHIBIT 14: **Y/Y Revenue growth by segment (%)**



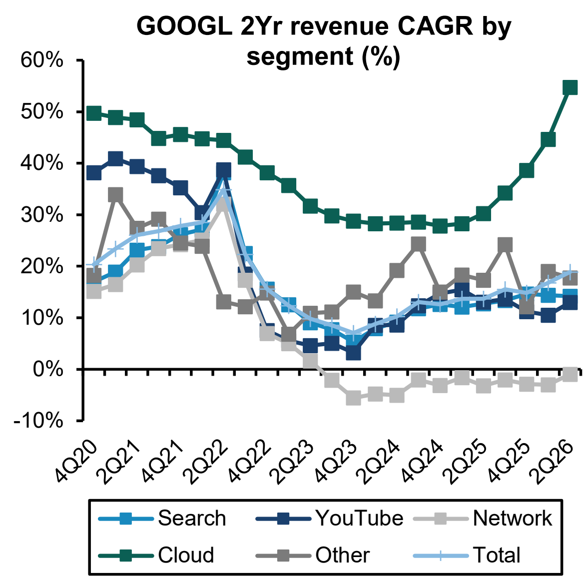
Source: Company filings, Bernstein analysis

EXHIBIT 15: **Advertising revenue mix**



Source: Company filings, Bernstein analysis

EXHIBIT 16: **2Yr Revenue Growth CAGR by Segment**



Source: Company filings, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 17: **Our Google model**

in millions except per share and percentage data

GOOGL	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT												
Revenue	**90,234**	**96,428**	**102,346**	**113,828**	**109,896**	**119,796**	**126,286**	**140,157**	**402,836**	**496,135**	**616,895**	**768,757**
Cost of Revenue	36,361	39,039	41,369	45,766	41,271	45,943	49,461	55,091	162,535	191,767	233,426	284,746
Research and Development	13,556	13,808	15,151	18,572	17,032	18,219	20,332	22,425	61,087	78,008	99,937	124,539
Sales and Marketing	6,172	7,101	7,205	8,215	7,606	8,403	9,093	10,091	28,693	35,193	43,835	54,630
General and Administrative	3,539	5,209	7,393	5,341	4,291	6,461	5,178	6,027	21,482	21,956	25,997	32,406
One Time costs (restructuring & fines)	-	-	-	-	-	-	-	-	-	-	-	-
Total Expenses	**59,628**	**65,157**	**71,118**	**77,894**	**70,200**	**79,026**	**84,064**	**93,635**	**273,797**	**326,924**	**403,195**	**496,321**
EBIT	**30,606**	**31,271**	**31,228**	**35,934**	**39,696**	**40,770**	**42,223**	**46,522**	**129,039**	**169,211**	**213,701**	**272,436**
D&A	4,487	4,998	5,611	6,040	6,482	7,104	9,850	10,932	21,136	34,369	56,754	84,563
EBITDA (incl. SBC)	**35,093**	**36,269**	**36,839**	**41,974**	**46,178**	**47,874**	**52,073**	**57,454**	**150,175**	**203,580**	**270,455**	**356,999**
Other Income (Expenses)	11,183	2,662	12,759	3,183	37,716	97,983	5,000	5,000	29,787	145,699	16,000	10,000
Net Income	**34,540**	**28,196**	**34,979**	**34,455**	**62,578**	**112,193**	**39,337**	**42,918**	**132,170**	**257,026**	**191,341**	**235,269**
Weight Avg. Diluted Shares	12,291	12,198	12,203	12,228	12,238	12,309	12,389	12,471	12,230	12,352	12,536	12,656
Diluted GAAP EPS	**2.81**	**2.31**	**2.87**	**2.82**	**5.11**	**9.11**	**3.18**	**3.44**	**10.81**	**20.84**	**15.26**	**18.58**
GAAP Margins:												
Gross Margin	60%	60%	60%	60%	62%	62%	61%	61%	60%	61%	62%	63%
EBIT Margin (ex-One Time Fines)	34%	34%	34%	33%	36%	34%	33%	33%	32%	34%	35%	35%
EBITDA Margin (ex-One Time Fines)	39%	38%	36%	37%	42%	40%	41%	41%	37%	41%	44%	46%
Y/Y Growth (GAAP):												
Revenue	12%	14%	16%	18%	22%	24%	23%	23%	15%	23%	24%	25%
EBITDA	21%	16%	13%	19%	32%	32%	41%	37%	11%	18%	22%	22%
EPS	52%	22%	35%	31%	82%	294%	11%	22%	35%	93%	-27%	22%
ADJUSTED ITEMS												
Adjusted EBITDA (ex-SBC)	40,609	42,267	43,207	49,045	52,929	55,831	59,931	66,161	175,128	234,852	309,339	405,456
Adjusted EBITDA Margin	45%	44%	42%	43%	48%	47%	47%	47%	43%	47%	50%	53%
Non-GAAP Net Income	40,056	34,194	41,347	41,526	69,329	120,150	47,194	51,625	157,123	288,298	230,224	283,726
Diluted Non-GAAP EPS	**3.26**	**2.80**	**3.39**	**3.40**	**5.67**	**9.76**	**3.81**	**4.14**	**12.85**	**23.34**	**18.37**	**22.42**
KEY METRICS (ex-Other Bets)												
Search	50,702	54,190	56,567	63,073	60,399	63,271	65,052	71,903	224,532	260,625	291,900	324,009
YouTube	8,927	9,796	10,261	11,383	9,883	11,055	11,215	12,635	40,367	44,788	49,491	53,945
Network Members	7,256	7,354	7,354	7,828	6,971	7,303	7,097	7,554	29,792	28,925	28,202	27,496
Advertising Revenue	**66,885**	**71,340**	**74,182**	**82,284**	**77,253**	**81,629**	**83,364**	**92,092**	**294,691**	**334,338**	**369,593**	**405,451**
Cloud	12,260	13,624	15,157	17,664	20,028	24,768	27,586	31,795	58,705	104,177	181,205	289,927
Other	10,379	11,203	12,870	13,578	12,384	12,911	14,981	15,886	48,030	56,162	64,512	71,737
Google Segment Revenues	**89,524**	**96,167**	**102,209**	**113,526**	**109,665**	**119,308**	**125,930**	**139,774**	**401,426**	**494,677**	**615,310**	**767,116**
Advertising Growth (Y/Y)	8%	10%	13%	14%	16%	14%	12%	12%	11%	13%	11%	10%
Google Segment Growth (Y/Y)	12%	14%	16%	18%	22%	24%	23%	23%	12%	11%	11%	9%
BALANCE SHEET & CASH FLOW												
Cash + Marketable Securities	95,328	95,148	98,496	126,843	126,840	242,474	246,895	257,369	126,843	257,369	168,366	149,899
Property and equipment, net	185,062	203,231	223,787	246,597	281,020	321,212	368,191	420,329	246,597	420,329	689,912	933,608
All Other	194,984	203,674	214,186	221,841	296,059	358,297	354,320	372,535	221,841	372,535	434,191	512,363
Total Assets	**475,374**	**502,053**	**536,469**	**595,281**	**703,919**	**921,983**	**969,406**	**1,050,232**	**595,281**	**1,050,232**	**1,292,469**	**1,595,870**
FCF	18,953	5,301	24,461	24,551	10,116	(5,855)	(8,511)	(2,438)	73,266	(6,688)	(59,617)	12,366
FCF Margin	21%	5%	24%	22%	9%	-5%	-7%	-2%	18%	-1%	-10%	2%

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	22 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Reported EPS 2025A	Reported EPS 2026E	Reported EPS 2027E	Reported P/E (x) 2025A	Reported P/E (x) 2026E	Reported P/E (x) 2027E
GOOGL (Alphabet)	M	USD	342.09	**385.00**	61.0%	USD	10.81	**20.84**	**15.26**	31.7	16.4	22.4
OLD				390.00				14.81	15.16			
SPX			7,498.96									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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An associate contributing to this report has a financial interest in the equity or debt securities of Alphabet Inc.

VALUATION METHODOLOGY

Alphabet Inc

We value Alphabet on a Price Target of $385, using a 50/50 combination of 2027e EV/ EBIT multiple of 24x and a DCF using a WACC of 10% and a terminal growth of 3.5%. We consider Alphabet primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

RISKS

Alphabet Inc

Upside risk to our price target:

- Faster than expected revenue growth tied to digital advertising recovery and idiosyncratic efforts or better than expected margins tied to recent effort to slow down hiring and small scale lay-offs.

- Favorable regulatory outcomes further entrenching Google’s incumbency positions across both Search and Network.

Downside risk to our price target:

- Terminal risk narratives tied to Search disintermediation, either from negative headlines or share loss (users and/or revenue) in search. If search were to suffer topline changes it could have a trickle effect across the business and have a material impact on GOOGL's ad revenues and we would expect further de-rating in the stock.

- Alphabet is currently under investigation in multiple regulatory proceedings across both anti-trust and privacy, domestically and abroad. In particular, the DOJ case against Google on Search will likely reach a verdict later this year.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as ‘Feature’ (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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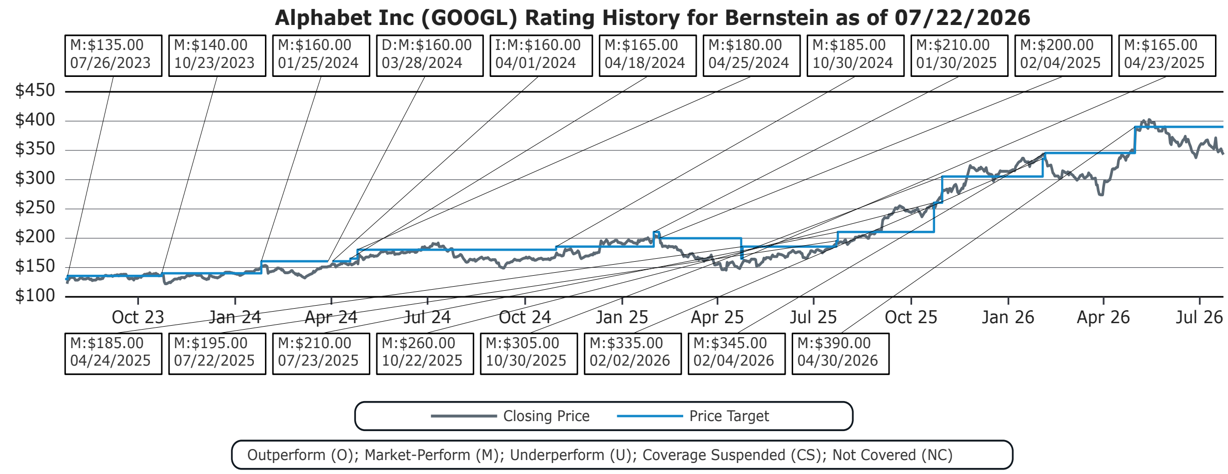

All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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